VALUATUM

14.7.2026

Kesko

KESKOB.HE • NASDAQ Helsinki • Grocery Stores • Finland

COMPANY PROFILE

Kesko is a Finnish listed trading group operating through three divisions: Grocery trade (K-Citymarket, K-Supermarket, K-Market chains and the Kespro foodservice wholesaler), Building and technical trade (K-Rauta, Onninen, Byggmakker and Davidsen, serving consumers and B2B construction/technical customers across the Nordics, Baltics, Poland and Denmark), and Car trade (importing and retailing new and used cars plus related services). Kesko operates largely through a chain-partnership model with independent K-retailers and has around 1,700 stores across eight countries. The Building and technical trade division is going through a prolonged downturn in the Northern European construction cycle, while grocery and car trade have shown steadier recent performance.

RECOMMENDATION	CURRENT PRICE	TARGET PRICE
HOLD	**19.64 EUR**	**19.60 EUR**
12-month horizon	as of report date	12-month fundamental

IMPLIED UPSIDE	MARKET CAP	ENTERPRISE VALUE
–0.2%	**EUR 7.8 bn**	**EUR 11.3 bn**
vs. current price	shares × price	mcap + net debt

P/E 2026E	EV/EBITDA 2026E	FCF YIELD 2026E	DIVIDEND YIELD 2026E	NET DEBT / EBITDA 2026E
16.9×	6.9×	6.4%	5.2%	2.1×

RESEARCH SNAPSHOT

The call, the math, and the three reasons why

02

A one-page summary of the recommendation and the evidence behind it; the following pages provide the detail.

RECOMMENDATION	TARGET PRICE	CURRENT PRICE	IMPLIED UPSIDE
HOLD 12-month horizon	**19.60 EUR** 12-month fundamental	**19.64 EUR** as of report date	**−0.2%** vs. current price

MARKET CAP	ENTERPRISE VALUE	P/E · EV/EBITDA 2026E	FCF · DIV YIELD 2026E
EUR 7.8 bn shares × price	**EUR 11.3 bn** mcap + net debt	**16.9× · 6.9×** history + peers, see p. 18–19	**6.4% · 5.2%**

01 Grocery trade anchors valuation

Grocery trade generates 6.5% margin and EUR 418m EBIT on EUR 6,448m sales, anchoring 65.3% of allocated EV, but must hold above 5.5% to protect the current valuation.

65.3%

02 Building & Technical needs recovery

Building & Technical trade's 3.8% trough margin must recover to 4.7%-5.0% by 2027, lifting EBIT from EUR 179m toward EUR 240m-260m, justifying its 26.0% EV share.

26.0%

03 Multiple confirms fair value

At 16.1x 2026e EV/EBIT versus a 14.4x peer median, the selected 16.0x multiple on EUR 703m EBIT yields EUR 19.57, confirming fair value rather than a re-rating opportunity.

16.0x

THESIS BREAKER

If 2026 Building and technical trade EBIT stays below EUR 200m or Grocery margin breaks under 5.5%, group EV could compress toward the EUR 9.0 billion bear case.

SHARE PRICE DEVELOPMENT

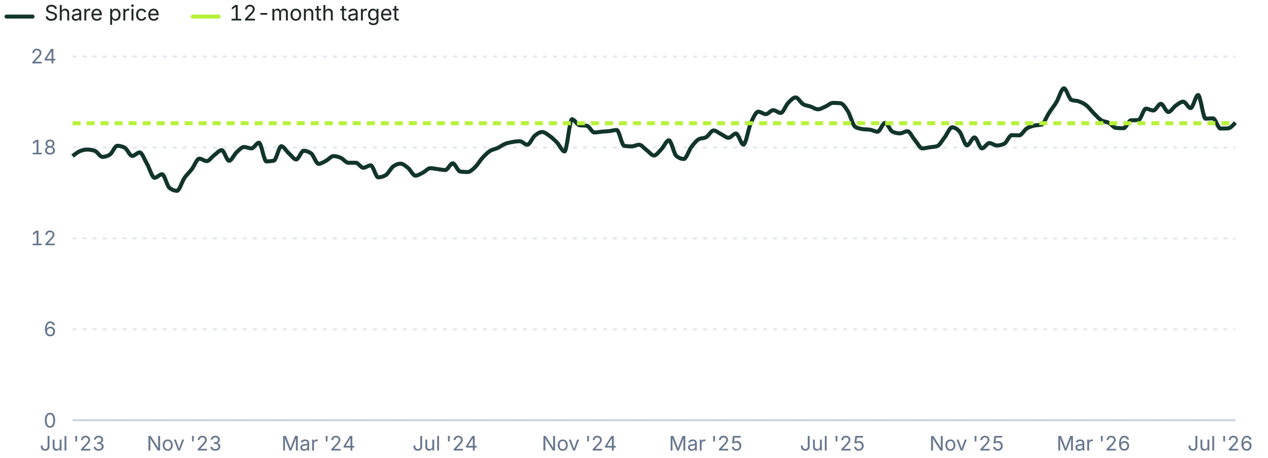
Price trajectory and valuation anchors

03

Monthly closing prices over 24 months with the 12-month target price, alongside key market data.

Share price — last 24 months

EUR per share, with 12-month target line



CURRENT PRICE **19.64 EUR** 14 July 2026	TARGET PRICE **19.60 EUR** 12-month	IMPLIED UPSIDE **−0.2%** vs. current	52-WEEK HIGH **22.20 EUR** past 12m
52-WEEK LOW **17.80 EUR** past 12m	1-YEAR CHANGE **−5.1%** price only	3-YEAR CHANGE **+11.9%** price only	REPORT DATE **14 July 2026**

VALUE BREAKDOWN · PART 1

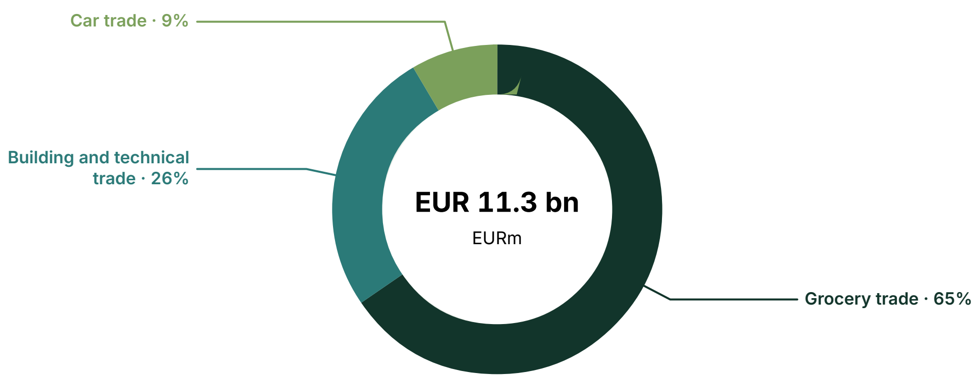
Enterprise-value allocation by segment

04

Each segment's contribution to group revenue, comparable EBIT and enterprise value.

Enterprise value by segment

EUR millions · segment revenue/EBIT weights: FY2025A



SEGMENT ECONOMICS

Revenue and Comp. EBIT: FY2025A (source: Kesko Financial Statements Release 1.1.–31.12.2025 and the Report by the Board of Directors and Financial Statements 2025). EV: current allocation.

	REVENUE	SHARE OF REVENUE / DIV.	COMP. EBIT	SHARE OF EBIT / DIV.	EV	EV %	ARCHETYPE
Grocery trade	6,448	51.7%	418	101.7%	7,369	65.3%	Profit engine
Building and technical trade	4,686	37.6%	179	43.5%	2,938	26.0%	Commodity
Car trade	1,365	10.9%	83	20.2%	977	8.7%	Scaling
Total	**12,475**	**100.0%**	**411**	**100.0%**	**11,284**	**100.0%**	—

VALUE BREAKDOWN · PART 2

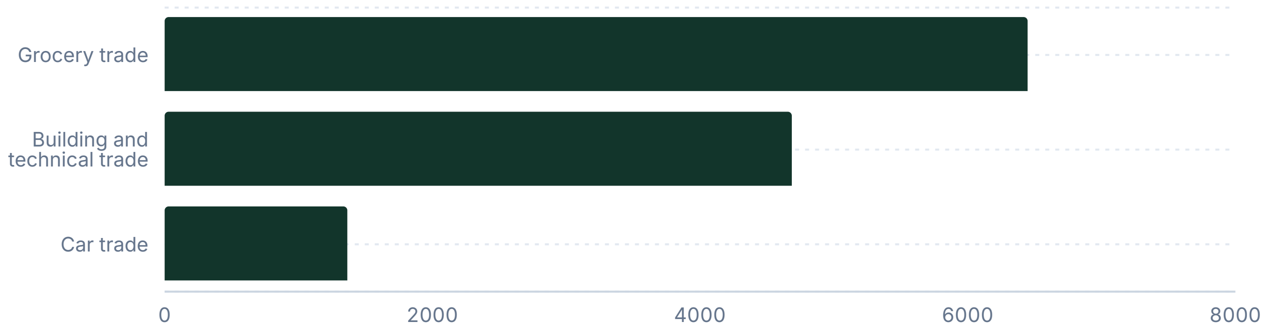
05

Net sales and EBIT by segment

Where the group's revenue and comparable EBIT originate, by segment.

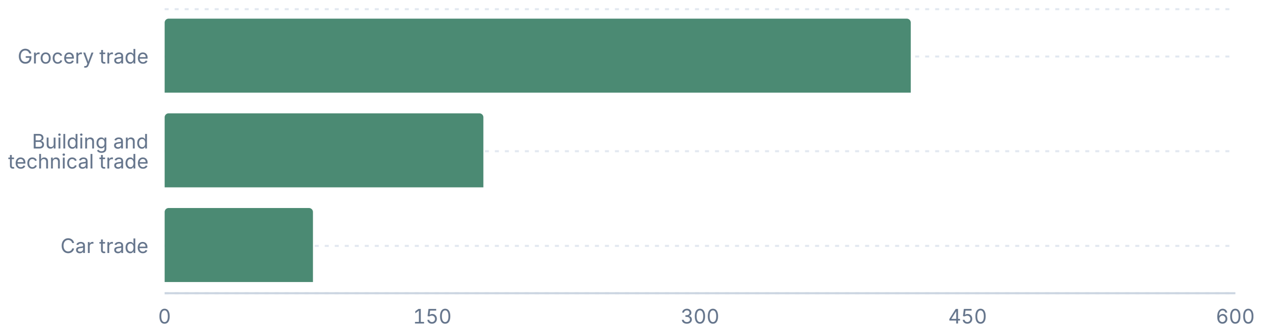
Net sales by segment

EUR millions, FY2025A



Comparable EBIT by segment

EUR millions, FY2025A



INTERPRETATION

Kesko's valuation is heavily anchored by the resilient earnings power of the Grocery trade division, which accounts for nearly two-thirds of the group's enterprise value thanks to its stable 6.5% margins. Building and technical trade, while currently depressed in a construction trough, is priced with a significant recovery premium, whereas the faster-growing Car trade accounts for a smaller but more dynamic share.

RECOMMENDATION

Why we land on the call we do

06

The rationale for the rating, the decision summary, and the three principal supporting arguments.

The stock is currently trading at EUR 19.64 and sits almost exactly at fair value, supporting a HOLD rating with a target price of EUR 19.6, implying roughly flat returns over the next 6 months.

Kesko's re-rating depends on whether Grocery trade's 6.5% margin can offset Building & Technical trade's 3.8% trough margin recovering to 4.7%-5.0% by 2027. At 16.1x 2026e EV/EBIT vs 14.4x peer median, the selected 16.0x multiple implies a €19.6 target vs the €19.64 quote — fair value, not a re-rating trade.

Group sales scale from €12,475m to €13,082m in 2026e, while reported EBIT jumps from €411m to €703m — a credible 7.3% increase versus the true €654.9m comparable EBIT base, rather than the restructuring-distorted headline. Operating cash flow depends heavily on a working-capital release from Building & Technical trade inventory.

HOLD

TARGET PRICE
19.60 EUR

CURRENT PRICE
19.64 EUR

IMPLIED UPSIDE
−0.2%

12-MONTH VIEW
Kesko's valuation is balanced, as steady cash flows from the Grocery trade offset the expected cyclical drag and delayed recovery in the Building and technical trade division.

MAIN DRIVER
Grocery trade cash conversion and margin stability.

MAIN RISK
Prolonged Northern European construction-cycle downturn.

01 Grocery trade anchors valuation
Grocery trade generates 6.5% margin and EUR 418m EBIT on EUR 6,448m sales, anchoring 65.3% of allocated EV, but must hold above 5.5% to protect the current valuation.
65.3%

02 Building & Technical needs recovery
Building & Technical trade's 3.8% trough margin must recover to 4.7%-5.0% by 2027, lifting EBIT from EUR 179m toward EUR 240m-260m, justifying its 26.0% EV share.
26.0%

03 Multiple confirms fair value
At 16.1x 2026e EV/EBIT versus a 14.4x peer median, the selected 16.0x multiple on EUR 703m EBIT yields EUR 19.57, confirming fair value rather than a re-rating opportunity.
16.0x

THESIS BREAKER If 2026 Building and technical trade EBIT stays below EUR 200m or Grocery margin breaks under 5.5%, group EV could compress toward the EUR 9.0 billion bear case.

CORE ANALYSIS · EXECUTIVE MAP

07 How the company creates economic value

The framework underlying the segment deep dives that follow.

The allocation of Kesko's €11,284 million enterprise value is heavily concentrated in its current earnings base, though not without significant cyclical dependencies. The valuation relies almost entirely on the Grocery trade division, a highly resilient profit engine, and the Building and technical trade division, which currently acts as a cyclical swing factor.

Because no direct transaction or sum-of-the-parts disclosure is available, segment enterprise values have been analytically estimated using peer-anchored multiples applied to FY2025 comparable operating profit, then normalized upward by approximately 17.5% to reconcile with the group enterprise value control total.

This normalized framework shows that the market assigns a premium to Kesko's consolidated earnings power rather than valuing it as a simple collection of distribution assets. The EV-to-equity bridge requires deducting €3,407 million in reported net debt and approximately €54 million in other unallocated claims from the €11,284 million group enterprise value.

> **ANALYTICAL ANCHOR**
>
> Group enterprise value is largely sustained by Grocery trade's current cash generation, buffering the delayed cyclical recovery in the Building and technical trade division.

CORE ANALYSIS · SEGMENT DEEP DIVES

08

Grocery trade

Segment deep dive — Profit engine.

The Grocery trade division is Kesko's primary value anchor. In 2025, it generated €6,447.7 million in net sales (51.6% of the operating divisions) and €418.1 million in comparable operating profit, representing 61.5% of divisional comparable EBIT. The segment operates at an attractive 6.5% comparable EBIT margin. The analytically allocated enterprise value of €7,369 million represents 65.3% of the group total.

The market assigns nearly two-thirds of Kesko's enterprise value to the Grocery trade because it provides the defensive cash flow needed to support the group's dividend yield and service the €3,407 million debt load. The valuation premium attached to this segment reflects the structural advantages of Kesko's K-retailer business model, which shifts volatile operating costs down to the retailer level and lets the corporate parent generate a high, stable wholesale spread plus steady real estate rental income.

Kesko's 6.5% comparable EBIT margin in the Grocery trade is exceptionally strong relative to Nordic peers. Its ability to sustain a margin over 200 basis points higher than a leading regional peer stems directly from the K-retailer network and the high-margin contribution of the Kespro foodservice business. The main competitive threat comes from hard discounters and the cooperative S Group.

The economic output of the Grocery trade is defined by wholesale volume × wholesale spread + real estate yield. Because Kesko is a wholesaler and landlord, its capital intensity at the margin is lower than that of a pure retailer expanding a fully corporate-owned network. To justify the €7,369 million allocated enterprise value, the division must maintain its current wholesale volumes and defend the 6.5% margin.

GROCERY TRADE FACT SHEET

PROFIT ENGINE

FY2025A REVENUE
EUR 6,448m

FY2025A COMP. EBIT
EUR 418m

COMP. EBIT MARGIN
6.5%

IMPLIED EV/EBIT
17.6x

MARKET POSITION
Duopoly with S Group

NET SALES TARGET
€6,700m - €6,900m

KEY VULNERABILITY
Price investments vs Lidl/S Group

CORE ANALYSIS · SEGMENT DEEP DIVES

08

Building and technical trade

Segment deep dive — Commodity.

The Building and technical trade (B&T) division generated €4,685.8 million in net sales in 2025 (37.5% of the divisional total) but only €178.6 million in comparable operating profit. The comparable margin has compressed to 3.8%. Reported operating profit was even lower, at €159.2 million, due to €19.4 million in negative items affecting comparability, mainly linked to restructuring in the weak Danish and Swedish markets. The division is allocated €2,938 million in enterprise value.

The market values the B&T division not for its depressed 2025 earnings, but for its embedded operating leverage to a Northern European construction cycle recovery. In 2021 and 2022, this division was a major profit driver for Kesko, benefiting from high commodity prices, a residential building boom, and strong B2B demand. Investors are holding the asset for its mid-cycle cash flow generation, which historical data suggests should comfortably exceed €230–€250 million.

The division operates across the Nordics, Baltics, and Poland, exposing it directly to Northern European macroeconomics and interest rates. The market is sharply divided between B2B professionals and B2C consumers. Kesko has strategically skewed its portfolio toward B2B, which now accounts for the vast majority of division sales, insulating the company from the extreme volatility of consumer DIY spending, but tying its fortunes closely to industrial capex and public infrastructure.

The division functions as a classic spread business: volume × gross product margin ÷ fixed branch and logistics costs. When construction volumes collapse, the fixed costs heavily penalize the EBIT margin, compressing it from a historical peak down to 3.8%. Conversely, when volumes recover, the incremental margins on additional throughput are very high. The valuation fundamentally requires this volume leverage to materialize.

BUILDING AND TECHNICAL TRADE FACT SHEET

COMMODITY

FY2025A REVENUE
EUR 4,686m

FY2025A COMP. EBIT
EUR 179m

COMP. EBIT MARGIN
3.8%

IMPLIED EV/EBIT (TROUGH)
16.4x

TARGET MARGIN
4.7% - 5.0%

MID-CYCLE EBIT TARGET
€240m - €260m

REPORTED EBIT IMPACT
-€19.4m (one-offs)

CORE ANALYSIS · SEGMENT DEEP DIVES

08

Car trade

Segment deep dive — Scaling.

The Car trade division generated €1,364.8 million in net sales (10.9% of divisional total) and €83.1 million in comparable operating profit in 2025. The operating margin was a healthy 6.1%. The allocated enterprise value of €977 million represents 8.7% of the group total.

A central tension in the Car trade division is its strong outperformance relative to the underlying market. According to Statistics Finland, total new passenger car registrations in Mainland Finland decreased by approximately 3% in 2025. Despite this shrinking overall market, Kesko's Car trade net sales grew by an exceptional 12%, showing that Kesko is capturing significant market share.

This growth is driven by its portfolio of imported brands, aggressive expansion in the used-car segment, and a structural shift toward higher-priced electric vehicles (EVs), which carry higher absolute gross margins per unit.

The valuation implies an 11.8x multiple on comparable EBIT. This is lower than the group average, reflecting the generally higher capital intensity and lower barriers to entry inherent in automotive retail. However, if the division can sustain its current trajectory, the €977 million allocation could prove conservative, contingent on proving that its logistics investments and used-car network can generate recurring aftermarket service revenue.

CAR TRADE FACT SHEET

SCALING

FY2025A REVENUE
EUR 1,365m

FY2025A COMP. EBIT
EUR 83m

COMP. EBIT MARGIN
6.1%

NET SALES GROWTH
+12%

IMPLIED EV/EBIT
11.8x

MARKET CONTEXT
-3% auto registrations

CORE ANALYSIS · CROSS-SEGMENT BRIDGE

Putting the segments back together

09

How the segment valuations aggregate to the group, and the re-rating the target price requires.

The mechanical leap from 2025 actuals to the 2026/2027 forward estimates needs unpacking: the headline jump from €411 million in 2025 reported EBIT to €703 million in 2026 estimated EBIT looks implausible for a mature retailer. The bridge is mainly explained by the €243.9 million gap between Kesko's 2025 reported EBIT and its comparable operating profit.

Measured against the true recurring baseline of €654.9 million in 2025 comparable operating profit, the move to €703 million in 2026 is a much more credible 7.3% growth requirement. This underlying growth is supported almost entirely by the expected normalization of the Building and technical trade division.

The weakest part of this segment bridge is the projected jump in operating cash flow to €1,595 million in 2026. This assumes a large, one-time working capital release as the Building and technical trade division clears excess inventory built up during the construction downturn. If the construction cycle fails to turn, that inventory stays trapped on the balance sheet.

> **BRIDGE MECHANICS**
>
> Growth requires Building and technical trade normalization to bridge the €243.9m gap between 2025 reported and comparable operating profit.

Kesko's valuation shows moderate tension, largely because the group enterprise value trades at a premium to a theoretical sum-of-the-parts calculation based on pure-play peers. Under a standard framework, European grocery retailers rarely trade above 12x–14x EV/EBIT, and cyclical building distributors usually trade closer to 10x–12x mid-cycle earnings.

Yet Kesko's implied group multiple (17.2x on 2025 comparable EBIT) shows that the market is willing to pay a premium for the consolidated entity. This premium is defensible because the K-retailer model shields the corporate parent from the most volatile elements of retail operating leverage, giving it higher and more stable cash conversion.

Second, the heavy real estate backing of the Grocery division provides a tangible valuation floor; Kesko is as much a specialized logistics and real estate holding company as it is a retailer.

However, the valuation could fail if the diversification thesis breaks down. Currently, the stable cash flows of the Grocery trade are cross-subsidizing the capital demands and restructuring costs of the Building and technical trade division. If the construction cycle stays depressed for another 24 to 36 months, the market may start to view the B&T division as a permanent drag on group ROE.

CORE ANALYSIS · SCENARIOS & VERDICT

10

Scenario logic and the bottom-line judgment

How the conclusion changes under less favourable scenarios.

Kesko's equity value is moderately leveraged to operational execution. The net debt load of €3,407 million is manageable, at 2.07x forward EBITDA, but it acts as a rigid senior claim that amplifies changes in enterprise value.

The largest valuation swing factor is the Building and technical trade division. In the Bull Case, a rapid decrease in European interest rates triggers a surge in residential and commercial construction in 2026. This lets the B&T division fully absorb its fixed branch costs, rapidly expanding EBIT margins past 5.0%. Combined with steady Grocery performance, this pushes Group EV to €13.5 billion.

Conversely, the Bear Case is triggered by a dual failure: a 'lower for longer' construction market that keeps B&T EBIT trapped below €180 million, combined with an aggressive price war initiated by S Group in the Finnish grocery market. If Kesko is forced to absorb wholesale price cuts to protect the K-retailer network, Grocery margins could compress toward 5.5%, contracting EV to €9.0 billion.

BOTTOM LINE

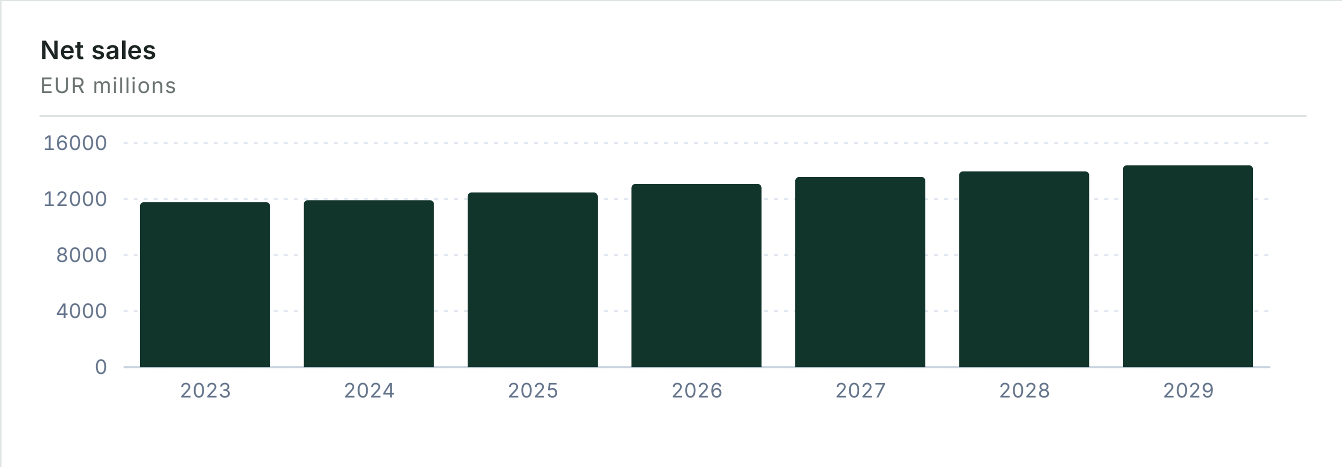
The central investment debate for Kesko is whether the structural strength of its Grocery trade model can continue to offset the severe cyclical drag of its Building and technical trade division. The valuation relies almost entirely on current earnings power rather than speculative future optionality, which means defending grocery margins closely while waiting for macro conditions to lift the building division out of its downturn.

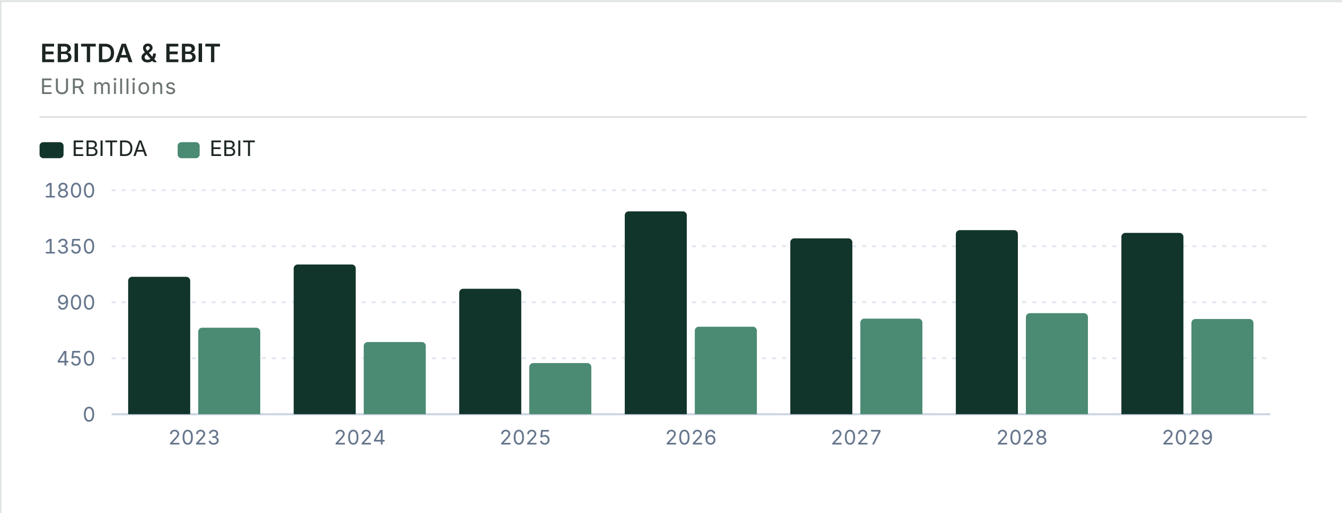
FINANCIAL BRIDGE · PART 1

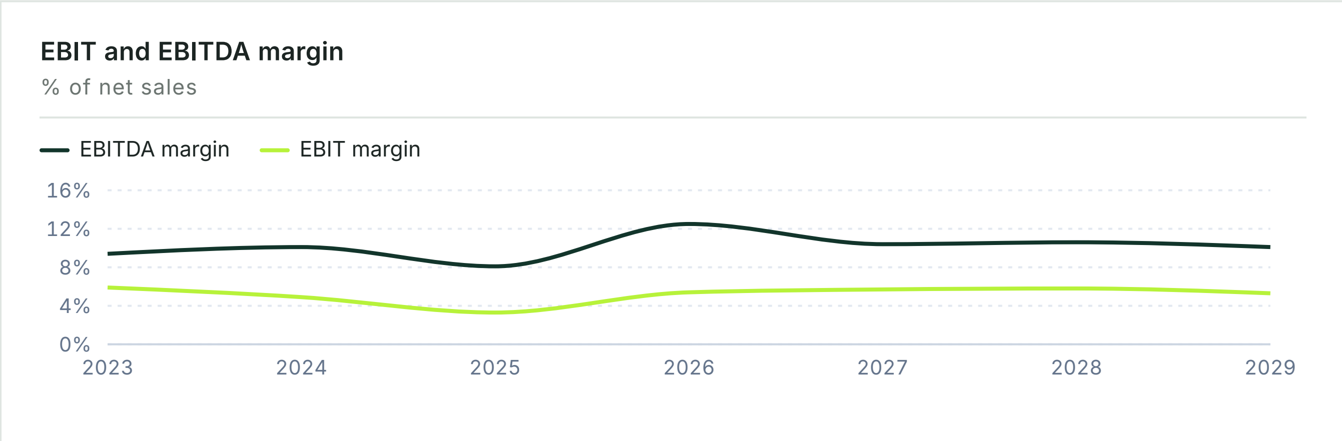
Net sales, EBITDA / EBIT, EBIT margin

14

Group-level trajectory for sales, earnings and margin; shaded bands mark forecast periods.







FINANCIAL BRIDGE · PART 2

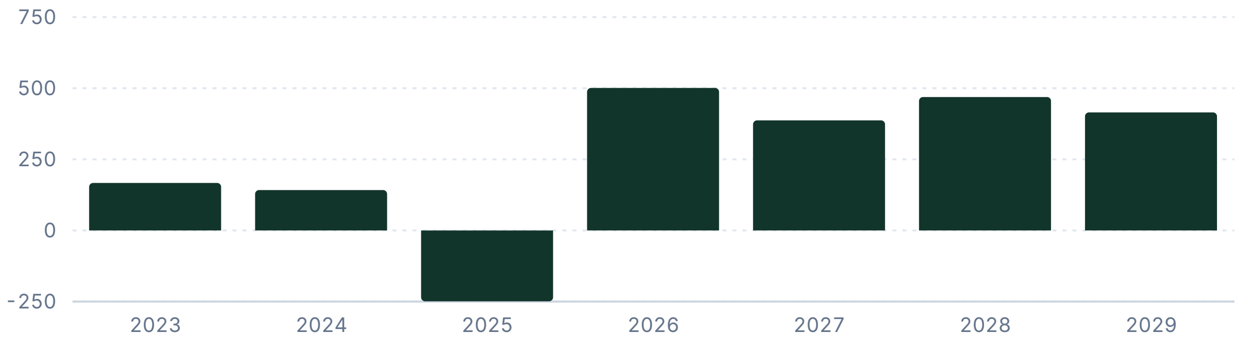
15

Free cash flow, leverage, and key financials

Cash generation and balance-sheet capacity.

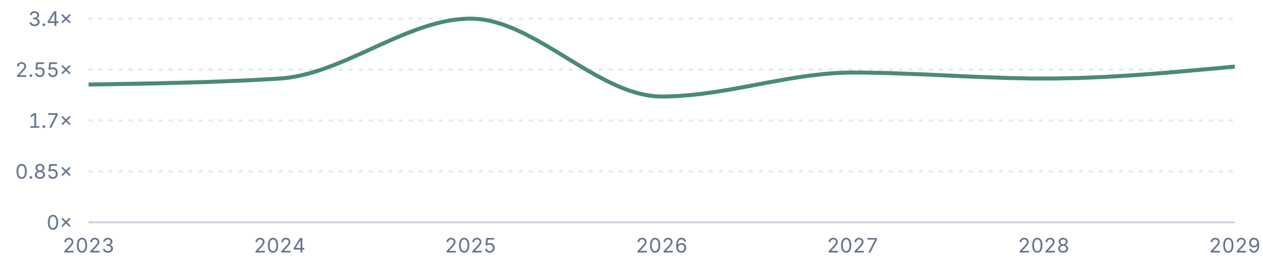
Free cash flow

EUR millions



Net debt / EBITDA

Ratio



KEY FINANCIALS

	2025	2026	2027	2028	2029
Net Sales	12,475	13,082	13,581	13,980	14,415
EBITDA	1,008	1,630	1,413	1,479	1,457
Comparable EBIT	411	703	768	812	765
Net Earnings	**405**	**463**	**516**	**551**	**542**
EPS (EUR)	1	1.2	1.3	1.4	1.4
DPS (EUR)	0.9	1	1.1	1.2	1.2

VALUATION

Target price derivation

16

The rationale for the chosen valuation method and multiple, with the company's historical multiples.

Kesko’s valuation is anchored on an EV/EBIT framework, which is the most appropriate method for a mature, cash-generative business that encompasses both a high-return grocery division and a cyclical building and technical trade segment. The company currently trades at 16.1x EV/EBIT on our 2026 estimates, compared to a peer median of 14.4x and its own normalized historical average of 17.8x. A fair multiple of 16.0x is selected; this represents a premium to the broader retail and distribution peer group, justified by the structural profitability of the Finnish grocery duopoly, while acknowledging a slight discount to Kesko's historical trading levels due to ongoing cyclical weakness in Nordic construction markets. The primary valuation risk to this multiple would be a prolonged downturn in the building cycle or heightened price competition eroding grocery margins. *Web-sourced: Kamux Mkt cap, P/E, EV/EBITDA, P/BV, Dividend yield; Inchcape plc Mkt cap; SIG plc Mkt cap.*

HISTORICAL AND FORECAST MULTIPLES

METRIC	2020	2021	2022	2023	2024	2025	2026E	2027E	2028E	NORM. AVG	SELECTED FAIR MULTIPLE
P/E	19.17x	19.23x	12.92x	14.38x	19.06x	18.93x	16.9x	15.1x	14.2x	17.28x	17.0x
P/FCF	9.30x	15.29x	26.58x	42.69x	51.04x	-30.73x	15.6x	20.2x	16.7x	28.98x	
P/BV	3.81x	4.61x	2.99x	2.58x	2.66x	2.74x	2.7x	2.6x	2.5x	3.23x	
P/S	0.78x	1.03x	0.69x	0.60x	0.61x	0.61x	0.6x	0.6x	0.6x	0.72x	
EV/Sales	1.01x	1.21x	0.88x	0.82x	0.86x	0.89x	0.86x	0.84x	0.82x	0.95x	
EV/EBITDA	9.86x	10.82x	7.93x	8.79x	8.47x	11.07x	6.9x	8.1x	7.8x	9.49x	
EV/EBIT	18.01x	17.63x	12.70x	13.95x	17.59x	27.16x	16.1x	14.8x	14.1x	17.84x	16.0x
Dividend yield	3.0%	2.6%	5.1%	6.0%	4.2%	4.8%	5.1%	5.8%	6.2%	4.3%	

VALUATION

Peers and target price bridge

17

Validated peer multiples, each method's implied price and weight, and the sensitivity of the target.

PEER COMPARISON

COMPANY	COUNTRY	MKT CAP	P/E 2026E	P/E 2027E	EV/EBITDA 2026E	EV/EBITDA 2027E	P/BV	EBIT MARGIN	ROE	DIV YIELD
Axfood AB (publ)	Sweden	57.7 SEKbn	19.6x	18.0x	8.4x	7.7x	4.6x	4.4%	26.6%	n/a
Metro AG	Germany	1.9 EURbn	16.3x	13.6x	4.3x	4.3x	1.1x	0.9%	7.0%	6.4%
Ferguson plc	US / UK	35.6 USDbn	16.8x	15.4x	11.3x	10.1x	3.6x	8.7%	23.8%	n/a
SIG plc	United Kingdom	91 GBPm	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a
Byggmax Group AB (publ)	Sweden	3.0 SEKbn	11.9x	10.4x	5.3x	5.0x	1.1x	6.2%	9.7%	3.7%
Bilia AB (publ)	Sweden	13.1 SEKbn	13.1x	11.6x	7.6x	7.3x	2.5x	3.6%	19.2%	7.1%
Kamux	Finland	60 EURm	31.7x	13.0x	5.3x	4.7x	0.6x	0.9%	3.7%	3.2%
Inchcape plc	United Kingdom	2.7 GBPbn	n/a	n/a	n/a	n/a	n/a	n/a	n/a	n/a
Peer median	-	-	16.3x	13.6x	7.6x	7.3x	2.5x	3.6%	14.4%	6.4%
Peer average	-	-	15.5x	13.8x	7.4x	6.9x	2.6x	3.2%	15.0%	5.8%

TARGET PRICE BRIDGE

METHOD	FORECAST METRIC	METRIC VALUE	SELECTED MULTIPLE	IMPLIED PRICE	WEIGHT
EV/EBIT	2026e EBIT	703 EURm	16.0x	19.57 EUR	60%
P/E	2026e EPS	1.16 EUR	17.0x	19.72 EUR	40%
Weighted target price				19.6 EUR	100%

SENSITIVITY — IMPLIED SHARE PRICE

2026E EBIT (EURM)	MULTIPLE 15.0X	MULTIPLE 16.0X (BASE)	MULTIPLE 17.0X
562 (-20%)	12.50	13.91	15.33
633 (-10%)	15.15	16.74	18.33
703 (Base)	17.80	19.57	21.33
773 (+10%)	20.45	22.39	24.33
844 (+20%)	23.10	25.22	27.34

VALUATION MAP

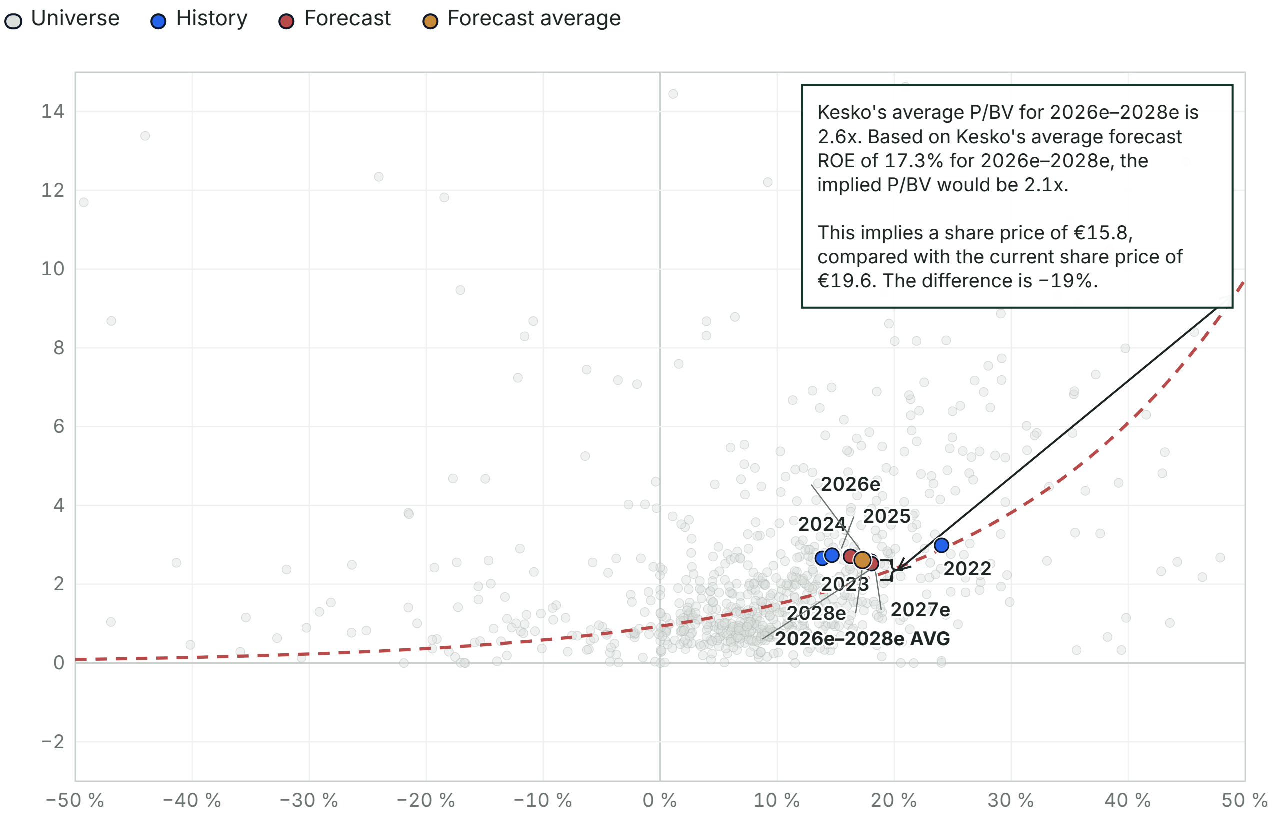
ROE vs P/BV — pricing versus profitability

18

The whole Wisdom universe as context: how the market prices profitability on average, and what the company's forecast position would imply for the share price.

ROE 2025 vs P/BV 2025

Kesko in the Wisdom universe (4 632 companies)



Kesko sits above the market valuation curve with a forecast average ROE of 17.3% and a P/BV of 2.6x, exceeding the 2.1x multiple typically paid by the universe for that level of profitability. This relationship suggests a curve-implied share price of EUR 15.8, indicating that the current price of EUR 19.6 is 19% overvalued relative to the broader market. As a result, the stock trades at a premium: its valuation is higher than its projected returns would justify based on the market's usual relationship between book value and profitability.

MULTIPLES & SENSITIVITY

19

Forward multiples and EBITDA × multiple grid

How the implied valuation responds to changes in EBITDA and the applied multiple.

FORWARD MULTIPLES

	2026
P/E	16.9×
EV/EBITDA	6.9×
EV/EBIT	16.1×
P/FCF	15.6×
P/BV	2.7×
Dividend Yield	5.2%
Net Debt / EBITDA	2.1×

EBITDA × EV/EBITDA sensitivity

EBITDA EV/EBITDA →	6.0×	6.5×	**6.9×**	7.5×	8.0×
-20% EUR 1,304m	**EUR 7,824m** EUR 11.10 / sh	**EUR 8,476m** EUR 12.70 / sh	**EUR 8,998m** EUR 14.00 / sh	**EUR 9,780m** EUR 16.00 / sh	**EUR 10,432m** EUR 17.60 / sh
-10% EUR 1,467m	**EUR 8,802m** EUR 13.50 / sh	**EUR 9,536m** EUR 15.40 / sh	**EUR 10,122m** EUR 16.90 / sh	**EUR 11,003m** EUR 19.10 / sh	**EUR 11,736m** EUR 20.90 / sh
Base EUR 1,630m	**EUR 9,780m** EUR 16.00 / sh	**EUR 10,595m** EUR 18.00 / sh	**EUR 11,247m** EUR 19.70 / sh	**EUR 12,225m** EUR 22.10 / sh	**EUR 13,040m** EUR 24.20 / sh
+10% EUR 1,793m	**EUR 10,758m** EUR 18.50 / sh	**EUR 11,655m** EUR 20.70 / sh	**EUR 12,372m** EUR 22.50 / sh	**EUR 13,448m** EUR 25.20 / sh	**EUR 14,344m** EUR 27.50 / sh
+20% EUR 1,956m	**EUR 11,736m** EUR 20.90 / sh	**EUR 12,714m** EUR 23.40 / sh	**EUR 13,496m** EUR 25.30 / sh	**EUR 14,670m** EUR 28.30 / sh	**EUR 15,648m** EUR 30.70 / sh

SCENARIO VALUATION

20

Bear / Base / Bull bridge

Revenue, EBITDA, multiple, EV, equity, value-per-share and upside in each scenario.

SCENARIO BRIDGE

	REVENUE	EBITDA	MARGIN	MULTIPLE	EV	EQUITY	VALUE / SHARE	UPSIDE
Bear	12,500	1,150	9.2%	7.8×	9,005	5,598	EUR 14.05	−28.4%
Base	13,082	1,630	12.5%	6.9×	11,247	7,841	EUR 19.68	+0.2%
Bull	13,500	1,850	13.7%	7.3×	13,505	10,099	EUR 25.35	+29.1%

KEY CONDITIONS

The Bull case assumes a rapid Nordic construction recovery lifting B&T margins past 5.0% alongside a 7.0% Grocery margin. The Base case assumes current trajectories, with a slow B&T recovery and a stable 6.5% Grocery margin. The Bear case is triggered by a prolonged construction recession and an aggressive S Group price war compressing Grocery EBIT.

THESIS BREAKER

A persistent drop in the comparable EBIT margin below 5.5% in Grocery trade would structurally break the valuation framework.

CATALYSTS

21

Monitoring checklist

Near-, medium- and long-term events that could change the recommendation.

CATALYST REGISTER

	TIMING	SEGMENT	INDICATOR	VALUATION IMPACT
Stabilization in Nordic housing starts	NEAR-TERM	Building and technical trade	Euroconstruct data and national statistics	Validates mid-cycle recovery premium
Monthly retail market share defense	NEAR-TERM	Grocery trade	Nielsen/PTY data vs S Group	Protects core 6.5% wholesale margin
HoReCa B2B volume growth	MEDIUM-TERM	Grocery trade	Kespro foodservice sales volumes	Sustains divisional revenue growth
Sustained new and used car market share gains	NEAR-TERM	Car trade	Statistics Finland new car data vs Kesko sales	Justifies higher multiple on scaled operations

READ-THROUGH

The most critical catalyst for the stock is macroeconomic rather than company-specific: the trajectory of Nordic interest rates and subsequent housing starts. Because the market is already pricing a recovery multiple on trough B&T earnings, any definitive evidence that European construction is turning a corner will solidify the current valuation. Monthly grocery market share data also remains vital, ensuring the independent merchants are not being subsidized by corporate-level margin compression.

RISKS

Risk register

22

Each risk's segment, mechanism, early-warning trigger, impact band and structural type.

RISK REGISTER

	SEGMENT	MECHANISM	EARLY WARNING	IMPACT	TYPE
Prolonged Construction Slump	Building and technical trade	Delayed macro recovery compresses volume absorption, keeping branch fixed costs unabsorbed.	Further delays in ECB rate cuts; rising commercial vacancies	HIGH	THESIS BREAKER
K-Retailer Margin Squeeze	Grocery trade	Retailers cannot absorb local inflation, forcing parent to slash wholesale take rates.	Rising bankruptcies among independent K-merchants	HIGH	THESIS BREAKER
Integration Failure in Denmark	Building and technical trade	Davidsen acquisitions require further restructuring, destroying ROIC.	Further 'items affecting comparability' booked in the B&T division	MEDIUM	MANAGEABLE
Used Car Pricing Collapse	Car trade	Sharp depreciation in EV residual values impacts inventory valuation.	Declining used EV prices across Nordic markets	MEDIUM	MANAGEABLE

READ-THROUGH

The most thesis-breaking risk is a structural breakdown of the K-retailer economic model. The 6.5% comparable EBIT margin in the Grocery division relies on the independent retailers absorbing store-level wage inflation. If the macroeconomic environment weakens consumer spending to the point where retailers operate at a loss, Kesko will be forced to subsidize the network. In addition, the risk of a prolonged construction slump is already partly priced into the depressed B&T baseline, but not into its assumed recovery multiple.

APPENDIX

23 Income statement

INCOME STATEMENT — EUR MILLIONS

	2023	2024	2025	2026 *E*	2027 *E*	2028 *E*
Net Sales	**11,784**	**11,920**	**12,475**	*13,082*	*13,581*	*13,980*
EBITDA	**1,104**	**1,203**	**1,008**	*1,630*	*1,413*	*1,479*
EBITDA margin	9.4%	10.1%	8.1%	*12.5%*	*10.4%*	*10.6%*
Depreciation	-408	-623	-597	*-927*	*-645*	*-667*
Operating Profit (EBIT)	**695**	**580**	**411**	*703*	*768*	*812*
EBIT margin	5.9%	4.9%	3.3%	*5.4%*	*5.7%*	*5.8%*
Net financial items	-82	-108	100	*-129*	*-128*	*-129*
Pre-tax Profit	**614**	**472**	**510**	*573*	*640*	*682*
Net Earnings	**496**	**380**	**405**	*463*	*516*	*551*
PER SHARE						
EPS	1.3	1	1	*1.2*	*1.3*	*1.4*
DPS	1.1	0.8	0.9	*1*	*1.1*	*1.2*
Payout ratio	86.7%	80.7%	91.4%	*87.2%*	*87.2%*	*87.2%*

E = Valuatum estimate (not yet actualised)

24

APPENDIX

Balance sheet

BALANCE SHEET — EUR MILLIONS	2023	2024	2025	2026 *E*	2027 *E*	2028 *E*
ASSETS						
Tangible assets	3,873	4,271	4,661	*4,818*	*5,002*	*5,148*
Intangibles	211	234	213	*223*	*231*	*238*
Goodwill	664	643	722	*722*	*722*	*722*
Non-current assets	**5,145**	**5,603**	**6,090**	***6,257***	***6,449***	***6,603***
Inventories	1,084	1,102	1,204	*1,244*	*1,291*	*1,329*
Receivables	1,299	1,277	1,343	*1,300*	*1,349*	*1,389*
Cash & equivalents	212	473	166	*295*	*306*	*315*
Current assets	**2,595**	**2,852**	**2,713**	***2,838***	***2,947***	***3,033***
Total Assets	**7,754**	**8,471**	**8,823**	***9,115***	***9,416***	***9,656***
EQUITY & LIABILITIES						
Equity	2,758	2,735	2,827	*2,917*	*3,030*	*3,131*
Long-term debt	691	1,054	1,286	*1,838*	*1,904*	*1,951*
Short-term debt	99	291	189	*1,839*	*1,904*	*1,951*
Long-term liabilities	**372**	**681**	**1,007**	***1,559***	***1,625***	***1,672***
Current liabilities	**2,556**	**2,928**	**2,790**	***4,537***	***4,659***	***4,752***
Total liabilities & equity	**7,754**	**8,471**	**8,823**	***9,115***	***9,416***	***9,656***
CAPITAL STRUCTURE & RATIOS						
Net debt	2,575	2,923	3,407	*3,382*	*3,501*	*3,587*
Capital invested	3,336	3,607	4,136	*6,299*	*6,532*	*6,718*
Equity ratio	35.6%	32.3%	32.0%	*32.0%*	*32.2%*	*32.4%*
Gearing	93.4%	106.9%	120.5%	*115.9%*	*115.5%*	*114.5%*
Net debt / EBITDA	2.3×	2.4×	3.4×	*2.1×*	*2.5×*	*2.4×*
Current ratio	1	1	1	*0.6*	*0.6*	*0.6*

E = Valuatum estimate (not yet actualised)

25

APPENDIX

Cash flow

CASH FLOW — EUR MILLIONS	2023	2024	2025	2026 *E*	2027 *E*	2028 *E*
OPERATIONS						
CF from operations	996	1,187	798	*1,491*	*1,121*	*1,186*
Operating cash flow	1,061	1,276	741	*1,595*	*1,225*	*1,290*
Change in working capital	-71	-184	204	*-101*	*40*	*32*
INVESTING & FREE CASH						
Gross capex	868	1,081	1,084	*1,094*	*837*	*821*
Capex (ex. M&A)	-868	-1,081	-1,084	*-1,094*	*-837*	*-821*
Free Operating Cash Flow	**167**	**142**	**-249**	***501***	***387***	***469***
Free cash flow to firm	**167**	**142**	**-249**	***501***	***387***	***469***
FINANCING						
CF from financing	-136	153	-43	*-268*	*-272*	*-356*
Dividends paid	-421	-430	-306	*-370*	*-403*	*-450*
Net change in cash	**-9**	**259**	**-329**	***129***	***11***	***9***

E = Valuatum estimate (not yet actualised)

APPENDIX

26 Quarterly snapshot

HISTORICAL QUARTERS — LAST TWO COMPLETED YEARS, EUR MILLIONS

	Q1/24	Q2/24	Q3/24	Q4/24	Q1/25	Q2/25	Q3/25	Q4/25
Net Sales	2,760	3,093	3,027	3,041	2,828	3,189	3,227	3,231
EBITDA	235	325	347	309	233	321	346	107
EBITDA margin	8.5%	10.5%	11.5%	10.1%	8.3%	10.1%	10.7%	3.3%
Comparable EBIT	97	172	202	121	89	178	201	-57
EBIT margin	3.5%	5.6%	6.7%	4.0%	3.2%	5.6%	6.2%	-1.8%
Net Earnings	60	98	139	75	48	117	140	100
EPS	0.2	0.3	0.4	0.2	0.1	0.3	0.4	0.3

CURRENT YEAR — QUARTERLY, EUR MILLIONS

	Q1/26	Q2/26 *E*	Q3/26 *E*	Q4/26 *E*
Net Sales	3,029	*3,291*	*3,331*	*3,431*
EBITDA	251	*625*	*684*	*70*
EBITDA margin	8.3%	*19.0%*	*20.5%*	*2.1%*
Comparable EBIT	102	*335*	*377*	*-111*
EBIT margin	3.4%	*10.2%*	*11.3%*	*-3.2%*
Net Earnings	51	*171*	*198*	*43*
EPS	0.1	*0.4*	*0.5*	*0.1*

E = Valuatum estimate (not yet actualised)

27

SOURCES & DISCLAIMER

Sources, assumptions, and standard disclaimer

SOURCES REGISTER

	VALUE	CATEGORY	USED IN
Current Share Price (EUR 19.64)	19.64	MARKET DATA	Cover, Valuation Reality Check
FY2025A Group Net Sales	12,475m	FINANCIAL SNAPSHOT	Segment Financials, Group Bridge
2026e Forward EBITDA	1,630m	GENERATED ESTIMATE	Forward Estimates, Scenarios
Peer EV/EBIT median (14.4x)	14.4x	CONSENSUS ESTIMATES	Investment Summary, Valuation
Enterprise Value control total	11,284m	COMPANY VALUE MAP	Executive Map, Core Analysis

DISCLAIMER

Information is based on company reports, historical data, and analyst estimates. Forward-looking statements carry inherent uncertainties and dependencies on macroeconomic factors.

This report was produced with the assistance of generative artificial intelligence. It may contain inaccuracies, is provided for information only, and does not constitute investment advice or a recommendation to buy or sell any security. Figures should be independently verified before use.